

STATE OF NEW YORK

10141--A

IN ASSEMBLY

February 9, 2026

Introduced by M. of A. KELLES, SHRESTHA, GALLAGHER, SHIMSKY, LASHER, SIMON, LEVENBERG, GONZALEZ-ROJAS, ROSENTHAL, LEE, SCHIAVONI, MORENO, MITAYNES, FORREST, GALLAHAN, SEAWRIGHT, RAGA, McMAHON, BURDICK, VALDEZ, DINOWITZ, STECK, BICHOTTE HERMELYN, KASSAY, R. CARROLL, REYES, COLTON, KAY, CASHMAN, HUNTER -- read once and referred to the Committee on Environmental Conservation -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the environmental conservation law, in relation to imposing a moratorium on data center permit issuance; to amend the public service law, in relation to data center rate impacts; and to amend the public authorities law, in relation to applicability of certain provisions to the Long Island power authority

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Legislative findings. The legislature hereby finds and declares the following:

1. It is the policy of the State of New York to conserve, improve and protect its natural resources and environment and to prevent, abate and control water, land and air pollution, in order to enhance the health, safety and welfare of the people of the state and their overall economic and social well-being.

2. The projected tripling of data centers across the nation in the next five years would result in data centers consuming more electricity than 28 million households.

3. Data center electricity usage in New York has been projected to increase by more than 9,000 MW, which is approximately double the electricity use of all New York households combined.

4. 56 percent of the electricity used to power data centers comes from fossil fuels. Data centers disproportionately use fossil fuels, with an average carbon intensity that is 48 percent higher than the national average.

5. Even when data centers use renewable energy, they often capture new renewable generation development that would otherwise have allowed for

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

LBD14606-05-6

1 the closure or reduced reliance on fossil fuel power plants, thereby
2 resulting in continued use of fossil fuel-based energy generation beyond
3 current expectations.

4 6. The growth of data centers is inconsistent with New York's climate
5 commitments.

6 7. A Bloomberg analysis of wholesale electricity prices found that 70
7 percent of locations with year-on-year price increases were within 50
8 miles of significant data center activity. Nationally, household elec-
9 tricity rates increased 13 percent in 2025, largely driven by the devel-
10 opment of data centers.

11 8. A tripling of data centers nationwide would require the equivalent
12 water usage of 18.5 million households just for cooling the servers.

13 9. Data centers convert agricultural and other non-industrial land to
14 industrial usage, removing farmland, woodland, and other resources while
15 driving up land values and property taxes.

16 10. The computing hardware used to run artificial intelligence (AI),
17 including microchips and processing, memory, and storage components has
18 a lifespan of 2-5 years and is regularly replaced with updated versions.
19 As a result, the current AI boom will be responsible for generating up
20 to 5 million tons of e-waste annually by 2030.

21 § 2. The environmental conservation law is amended by adding a new
22 article 31 to read as follows:

23 ARTICLE 31

24 MORATORIUM ON DATA CENTER PERMIT ISSUANCE

25 Section 31-0101. Definitions.

26 31-0103. Moratorium on data center permit issuance.

27 31-0105. Environmental impact report.

28 31-0107. Promulgation of regulations.

29 § 31-0101. Definitions.

30 For the purposes of this article, the following terms shall have the
31 following meanings:

32 1. "Data center" shall mean all buildings, equipment, structures,
33 infrastructure within an existing structure, and other stationary items,
34 such as server racks, that are located on a single site or on contig-
35 uous, adjacent, or otherwise connected sites, and that are owned or
36 operated by the same entity or by any entity who controls, is controlled
37 by, or is under common control by such entity, regardless of whether the
38 data center is a single-occupant site or multi-occupant site, that is
39 capable of using twenty megawatts of electricity or more and is designed
40 or intended to be primarily engaged in data processing, data storage,
41 data transport, web hosting, web streaming support, or other services
42 described under code 518210 of the 2022 North American Industry Classi-
43 fication System.

44 2. "Control" (including the terms "controlled by" and "under common
45 control with") means the possession, direct or indirect, of the power to
46 direct or cause the direction of the management and policies of an enti-
47 ty, whether through the ownership of voting securities, by contract, or
48 otherwise.

49 3. "Electric corporation" shall have the same meaning given to such
50 term in subdivision thirteen of section two of the public service law.

51 4. "Gas corporation" shall have the same meaning given to such term in
52 subdivision eleven of section two of the public service law.

53 5. "Water-works corporation" shall have the same meaning given to such
54 term in subdivision twenty-seven of section two of the public service
55 law.

1 6. "Disadvantaged communities" shall have the same meaning given to
2 such term in section 75-0101 of this chapter.

3 § 31-0103. Moratorium on data center permit issuance.

4 No permit, certificate, license, or other form of approval may be
5 issued by the state or any governmental agency or political subdivision
6 or public benefit corporation of the state, for the siting,
7 construction, or commencement of operation of a data center prior to
8 ninety days after the department shall have issued regulations pursuant
9 to section 31-0107 of this article and the public service commission
10 shall have taken all actions required pursuant to section sixty-six-x of
11 the public service law. This section shall not apply to the modifica-
12 tion, renewal, reissuance, or recertification of any previously issued
13 permit, certificate, license, or other form of approval.

14 § 31-0105. Environmental impact report.

15 1. The department, after consulting with the department of public
16 service, department of health, and the federally designated bulk system
17 operator, shall prepare an environmental impact report on data center
18 development in this state.

19 2. The environmental impact report shall consist of a study of, and
20 recommended regulatory and/or legislative action relating to, matters
21 including, but not limited to:

22 a. The number, size in acreage, current and maximum GW capacity, and
23 location of current data centers in the state, active proposals for new
24 data centers, and projections for future growth of data centers.

25 b. Electricity consumption by data centers, including:

26 i. the amount of electricity used by data centers within the state;

27 ii. identification of the generation sources for such electricity,
28 including the share that comes from fossil fuel generation, nuclear
29 generation, renewable energy systems as defined in paragraph (b) of
30 subdivision one of section sixty-six-p of the public service law, and
31 generation imported from outside of the state;

32 iii. the impact of data center development on monthly electricity and
33 gas rates for residential consumers, commercial consumers, and indus-
34 trial consumers, broken down by rate class and type, as well as projec-
35 tions for the changes to these amounts for both the proposed and
36 projected growth of data centers in the state;

37 iv. the impact of data center development on the bulk system operator
38 interconnection queue;

39 v. the impact of data center development on transmission development,
40 transmission constraints, and other issues relating to grid reliability
41 throughout all load zones identified by the bulk system operator; and

42 vi. how data center development has impacted capital planning, spend-
43 ing and maintenance needs for electric corporations and gas corpo-
44 rations, municipal electric utilities, and any power authorities estab-
45 lished under article five of the public authorities law.

46 c. Water consumption and discharge by data centers, including:

47 i. the amount of water used by data centers for cooling, including the
48 sources of such water;

49 ii. the daily rate of consumption of water from such sources;

50 iii. the amount of water discharged from data centers back into the
51 state's water resources;

52 iv. the amount of water consumed by cooling systems, lost to evapo-
53 ration, or in anyway not returned to the waters of the state;

54 v. projections for the changes to these amounts for both the proposed
55 and projected growth of data centers in the state;

1 vi. the impact of data center development on capital planning, spend-
2 ing, and maintenance needs of water-works corporations and of any water
3 authorities, water boards, or sewer authorities established under arti-
4 cle five of the public authorities law; and

5 vii. the impact of data center development on monthly water rates for
6 residential consumers, commercial consumers, and industrial consumers,
7 broken down by rate class and type, as well as projections for the
8 changes to these amounts for both the proposed and projected growth of
9 data centers in the state.

10 d. Land use for data centers, including:

11 i. the total acreage used for existing data centers;

12 ii. the types and amount of land that have been rezoned from other
13 zoning categories for use by data centers;

14 iii. the impact on land values and property taxes within a ten-mile
15 radius of a data center;

16 iv. projections for the changes to these amounts for both the proposed
17 and projected growth of data centers in the state; and

18 v. impacts on farmland, including an analysis of impacts on prime
19 farmland mineral soil types 1-4.

20 e. Pollution from data centers, including, but not limited to:

21 i. the amount of greenhouse gases emitted by each existing data center
22 and the cumulative total for the state emitted by existing, proposed,
23 and projected data centers, expressed in metric tons of carbon dioxide
24 equivalent, as defined in section 75-0101 of this chapter;

25 ii. the types and quantity of air pollutants emitted by each data
26 center and the cumulative total for the state emitted by existing,
27 proposed, and projected data centers;

28 iii. the types and quantity of water pollution produced by each data
29 center, including thermal pollution from water discharges, and the cumu-
30 lative total for the state produced by existing, proposed, and projected
31 data centers; and

32 iv. the level of noise pollution produced by each data center, with
33 projections for proposed and projected data centers, at regular inter-
34 vals beginning at the property line of the data center and extending
35 half a mile.

36 f. Electronic waste from data centers, including:

37 i. the current volume of electronic waste produced by data centers, by
38 waste type;

39 ii. the current methods being used to dispose of or recycle electronic
40 waste produced by data centers; and

41 iii. projections for the changes to these amounts for both the
42 proposed and projected growth of data centers in the state.

43 g. the impacts, including health impacts and air, water, and noise
44 pollution impacts, of current, proposed, and projected data centers on
45 disadvantaged communities and federally or state recognized indigenous
46 nations located within a ten-mile radius of such data centers.

47 h. A review of current statutes and regulations addressing the envi-
48 ronmental impact of data centers.

49 3. Projections of future data center growth within the state may be
50 based solely on data available as of the date on which this section
51 shall take effect, and the department may choose to account for ongoing
52 changes and uncertainty in growth projections.

53 4. A draft environmental impact report shall be posted on the depart-
54 ment's website and be subject to at least one hundred twenty days of
55 public comment from the date of issuance. The department shall conduct
56 at least one in-person public hearing in each of the following regions

1 of the state: western New York, the Finger Lakes, the southern tier,
2 central New York, the Mohawk valley, the north country, the capital
3 region/Hudson valley, the city of New York, and Long Island, as defined
4 by the empire state development corporation, and provide meaningful
5 opportunity for comment at such hearings.

6 5. The department shall issue a final environmental impact report
7 pursuant to this section no sooner than eighteen months after this
8 section shall have become a law.

9 § 31-0107. Promulgation of regulations.

10 After the completion of the environmental impact report pursuant to
11 section 31-0105 of this article, and in any event, no sooner than three
12 years after the effective date of this section, the department, in
13 consultation with the department of public service and the department of
14 health, shall promulgate final new or updated regulations to mitigate
15 the environmental impacts of data centers identified by the environ-
16 mental impact report. Such regulations shall be additional to existing
17 requirements pursuant to this chapter and rules and regulations promul-
18 gated pursuant thereto, including but not limited to standards and
19 permitting requirements under articles seventeen and nineteen of this
20 chapter. Such regulations shall be designed, to the greatest possible
21 extent, to:

22 1. Minimize energy consumption;

23 2. Minimize emission of greenhouse gases and production of other air,
24 water, and soil pollution;

25 3. Minimize noise pollution;

26 4. Minimize water consumption;

27 5. Avoid burdens on disadvantaged communities; and

28 6. Require a minimum amount of electricity usage to be provided by on-
29 and off-site renewable energy systems, as defined in paragraph (b) of
30 subdivision one of section sixty-p of the public service law, and energy
31 storage.

32 § 3. The public service law is amended by adding a new section 66-x to
33 read as follows:

34 § 66-x. Data center rate impacts. 1. (a) No later than eighteen months
35 after this section shall have become a law, the commission shall issue a
36 final report on data centers, as defined in section 31-0101 of the envi-
37 ronmental conservation law, including:

38 (i) the impact of data centers on electricity and gas rates for resi-
39 dential, commercial, and industrial users;

40 (ii) how data center operators can minimize the impact of data centers
41 on electricity and gas rates for residential, commercial, and industrial
42 users without additional government spending;

43 (iii) a review of current statutes and regulations designed to mini-
44 mize the impact of data centers on electricity and gas rates for resi-
45 dential, commercial, and industrial users; and

46 (iv) an evaluation of actions the commission can take to minimize the
47 impact of data centers on electricity and gas rates for residential,
48 commercial, and industrial users, including, but not limited to, the
49 creation of a new customer classification for data centers.

50 (b) A draft report shall be issued prior to the completion of the
51 final report, with such draft report subject to at least one hundred
52 twenty days of public comment from the date of issuance. The final
53 report shall take into consideration feedback submitted during the
54 public comment period.

55 2. No sooner than three years after the enactment of this section, the
56 commission shall issue any additional orders necessary to minimize, to

1 the greatest possible extent, the impact of data centers, as defined in
2 section 31-0101 of the environmental conservation law, on electricity
3 and gas rates for residential, commercial, and industrial users, and to
4 ensure that all costs associated with providing and maintaining electric
5 and gas service to data centers, including, but not limited to, require-
6 ments for any new electricity generation, transmission, and distribution
7 infrastructure, costs associated with increases in electricity wholesale
8 supply and capacity market prices, peak and non-peak demand impacts on
9 generation sources and generation capacity needs, and increases in
10 natural gas and oil commodity prices, shall be borne by such data
11 center. In developing such new order or orders, the commission shall be
12 informed by the environmental impact report issued pursuant to section
13 31-0105 of the environmental conservation law as well as the report
14 issued pursuant to subdivision one of this section.

15 § 4. The public authorities law is amended by adding a new section
16 1014-a to read as follows:

17 § 1014-a. Section sixty-six-x of the public service law applicable to
18 the authority and its subsidiaries. Notwithstanding any provision of
19 section one thousand fourteen of this title or any other provision of
20 law to the contrary, section sixty-six-x of the public service law shall
21 apply to the authority and all its subsidiaries.

22 § 5. Section 1020-s of the public authorities law, as amended by chap-
23 ter 388 of the laws of 2011, is amended by adding a new subdivision 4 to
24 read as follows:

25 4. Notwithstanding any provision of this section, section one thousand
26 twenty-xx of this title or any other provision of law to the contrary,
27 section sixty-six-x of the public service law applies to the authority
28 and all its subsidiaries.

29 § 6. This act shall take effect on the thirtieth day after it shall
30 have become a law, and shall apply to all permits pending or filed after
31 such effective date.